

OPEN

Opendoor Technologies Inc.

Stock Analysis Report
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Current Price	Market Cap	P/E Ratio	Sector
\$4.95	\$4.74B	N/A	Real Estate

Investment Rating: Hold

Opendoor Technologies faces significant financial and competitive challenges, with negative profitability and high debt levels. While the company has potential for growth through digital transformation and scaling operations, current market conditions and financial health warrant a cautious approach.

1. Company Overview

Opendoor Technologies Inc. operates a digital platform for residential real estate transactions in the United States, facilitating the buying and selling of homes through an online e-commerce model. The company offers a comprehensive suite of services, including real estate brokerage, title insurance, settlement, escrow, property and casualty insurance, and construction services. Founded in 2013 and headquartered in Tempe, Arizona, Opendoor aims to streamline the home buying and selling process, leveraging technology to enhance efficiency and customer experience. As a pioneer in the iBuying space, Opendoor's competitive advantage lies in its data-driven approach to pricing and its ability to quickly scale operations, although it faces significant competition from established players like Zillow and Redfin.

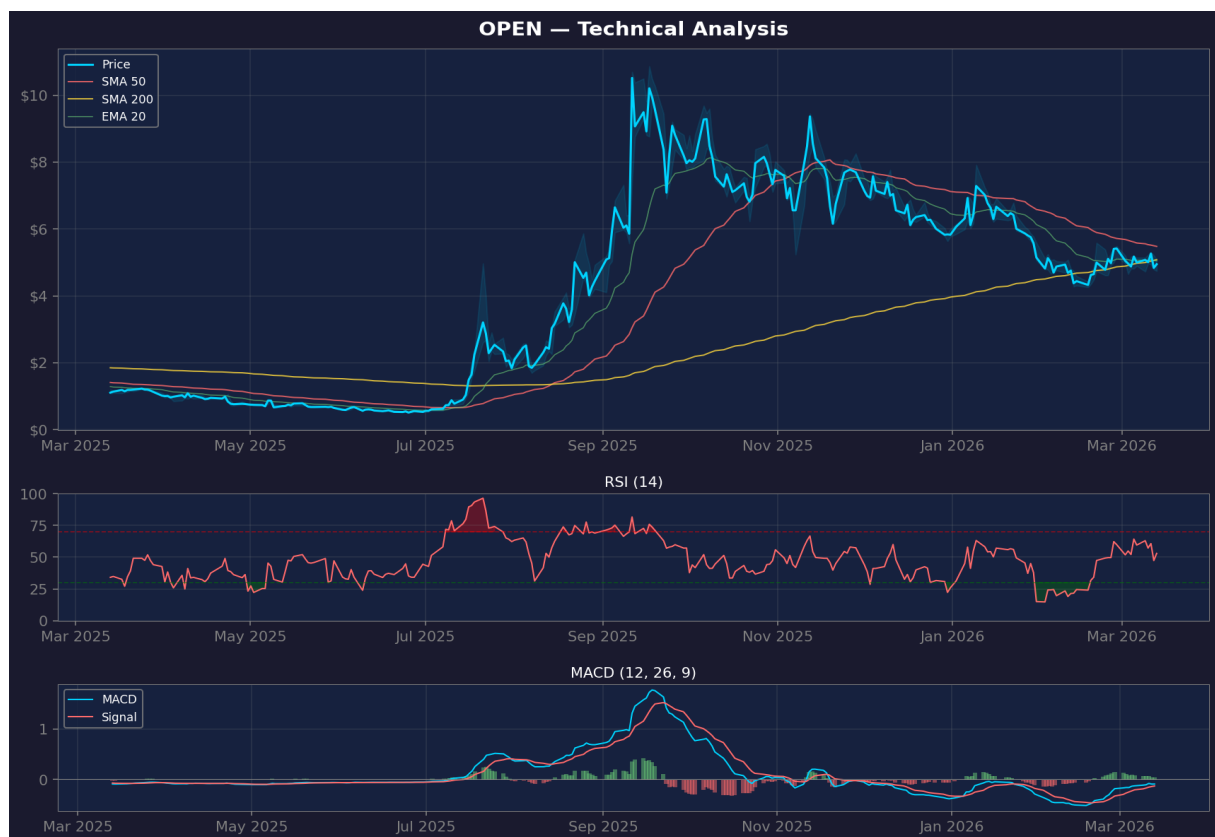
2. Fundamental Analysis

Key Financial Metrics

Metric	Value	Metric	Value
Market Cap	\$4.74B	Revenue	\$4.37B
P/E (TTM)	N/A	Net Income	\$-1.30B
P/E (Fwd)	-98.039215	EBITDA	\$-229.00M
P/B Ratio	4.714286	EPS (TTM)	\$-1.7
PEG Ratio	None	EPS (Fwd)	\$-0.05049
Profit Margin	-29.7%	ROE	-1.5%
Op. Margin	-20.5%	ROA	-6.2%
D/E Ratio	131.343	Current Ratio	7.031
Div. Yield	N/A	Rev. Growth	-32.1%

Opendoor's financial health presents several challenges, with significant losses and negative profitability metrics. The company reported a net income loss of \$1.30 billion in 2025, with a profit margin of -29.74% and an operating margin of -20.52%. The revenue has been declining, with a notable drop from \$15.57 billion in 2022 to \$4.37 billion in 2025, indicating a contraction in business operations or market share. The company's balance sheet shows a high debt-to-equity ratio of 131.343, suggesting reliance on debt financing, though it maintains a strong current ratio of 7.031, indicating short-term liquidity strength. Opendoor's valuation metrics, such as a P/B ratio of 4.71 and a P/S ratio of 1.08, suggest it is priced relatively high compared to its book value and sales, especially given its negative earnings.

3. Technical Analysis



Indicator	Value	Signal
Trend	Bearish	—
SMA 50	\$5.48	Below
SMA 200	\$5.09	Below
RSI (14)	52.96	Neutral
MACD	-0.0894	Bullish
Support	\$5.24	—
Resistance	\$7.92	—

Opendoor's stock currently exhibits a bearish trend, with the current price of \$4.95 below both the 50-day SMA of \$5.48 and the 200-day SMA of \$5.09. The RSI of 52.96 indicates a neutral momentum, suggesting neither overbought nor oversold conditions. The MACD is slightly bullish, with the MACD line at -0.0894 above the signal line at -0.1284, hinting at potential upward momentum. Key support and resistance levels are at \$5.24 and \$7.92, respectively, with the stock trading closer to the support level, indicating potential downside risk if the support fails. The 52-week range of \$0.51 to \$10.87 highlights significant volatility.

4. Competitor Comparison

Ticker	Market Cap	P/E	Rev Growth	Margin	ROE
OPEN ★	\$4.74B	None	-32.1%	-29.7%	-1.5%
Z	\$10.39B	476.66666	18.1%	0.9%	0.5%
RDFN	N/A	None	N/A	N/A	N/A
RLGY	N/A	None	N/A	N/A	N/A
EXPI	\$921.21M	None	8.5%	-0.5%	-10.1%
COMP	\$6.15B	None	23.1%	-0.8%	-9.8%

Compared to peers like Zillow, Redfin, and Compass, Opendoor faces challenges in profitability and growth. Zillow, with a market cap of \$10.4 billion, shows positive profit margins and a forward P/E of 14.46, indicating better financial stability. Redfin and Compass also face profitability issues, but Compass's forward P/E of 9.61 suggests a more optimistic outlook on future earnings. Opendoor's high debt levels and negative margins position it weaker relative to these competitors, who either have stronger balance sheets or better growth prospects. The competitive landscape is fierce, with each company leveraging technology to capture market share.

5. Sector Outlook

Period	XLRE	S&P 500	vs. Market
1 Year	5.3%	18.8%	-13.5%
3 Years	32.0%	73.4%	-41.5%
5 Years	25.2%	78.6%	-53.3%

The real estate sector, represented by the XLRE ETF, has shown moderate growth, with a 1-year return of 5.29% and a 5-year return of 25.25%. However, it underperforms compared to the broader S&P 500. The sector faces headwinds from rising interest rates and economic uncertainty, which could dampen housing demand. Tailwinds include urbanization trends and technological advancements in real estate transactions. Over the next 1-5 years, the sector may experience moderate growth, driven by demographic shifts and digital transformation, but will be sensitive to macroeconomic factors.

6. News Sentiment

Recent news sentiment around Opendoor has been mixed, with reports of a strong Q4 2025 revenue beat and increased acquisition velocity. However, the stock has faced volatility, with a 24% decline over three months. Positive developments include Opendoor's efforts to scale acquisitions and innovate with cut-rate mortgages, but concerns about profitability and market conditions persist. Overall, the sentiment reflects cautious optimism tempered by financial challenges.

7. Price Forecast

Current Price: \$4.95

Timeframe	■ Bear Case	■ Base Case	■ Bull Case
1 Year	\$3.0	\$5.5	\$7.0
3 Years	\$2.5	\$6.5	\$10.0
5 Years	\$2.0	\$8.0	\$15.0

1-Year Outlook: In the bull scenario, successful scaling and improved margins drive growth. The base case assumes moderate improvement in operations. The bear case reflects continued financial struggles and market headwinds.

3-Year Outlook: The bull scenario assumes market recovery and operational efficiency. The base case projects gradual improvement. The bear case considers prolonged financial and competitive pressures.

5-Year Outlook: In the bull scenario, Opendoor capitalizes on digital real estate trends. The base case reflects steady growth. The bear case assumes persistent challenges in profitability and market share.

8. Risk Factors

1. High debt levels could constrain financial flexibility and increase risk during economic downturns.
2. Negative profitability metrics suggest ongoing operational inefficiencies and market challenges.
3. Volatility in real estate markets could impact transaction volumes and revenue.
4. Intense competition from established players like Zillow and Redfin may limit market share growth.
5. Macroeconomic factors such as interest rate hikes and economic slowdowns could adversely affect housing demand.

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